Synthetic Lessor (Pty) Ltd
1 Test Street, Testville, 0001

EARLY-TERMINATION QUOTE

Lease TEST-LSE-0001 · quoted 23 February 2027 · valid until 5 March 2027

1. THE LEASE

Lessee	TEST Lessee Holdings (2020/000001/07)
Lease reference	TEST-LSE-0001
Goods	2025 Testmake Loader 9000, serial SN-TEST-001

2. THE QUOTE

Quoted on	23 February 2027
Termination date	24 March 2027
Valid until	5 March 2027
Status	Charge assessed; cancellation stands
Rentals still to fall due	14

3. WHAT YOU PAY

PV of the remaining rentals	R 391,111.39
Less goods value	R 120,000.00
Actual cost	Recovery: R 5,000.00
Cost evidence	synthetic-recovery.pdf
Cancellation charge (capped)	R 276,111.39
Invoiced excl. VAT	R 276,111.39
VAT on cancellation charge	R 41,416.71
Arrears (incl. charges)	R 12,345.00
Total payable	R 329,873.10

4. BASIS OF THE QUOTE

Present value of the remaining rentals at the contract rate, less the net realisable or re-let value of the returned goods, plus actual documented recovery, refurbishment and re-letting costs. No percentage penalty. The charge is floored at zero and capped below undiscounted remaining rentals. CPA Regulation 5(2) applies; cancellation is effective on 20 business days notice without accepting this quote.

5. TERMS OF THIS QUOTE

5.1 Your cancellation

You gave us notice on 23 February 2027 to cancel your lease, as this agreement allows on 20 business days' notice. Section 14(2)(b)(i)(bb) of the CPA does not apply to a juristic lessee, but this agreement gives you the same terms as the CPA gives a natural-person consumer. Your lease therefore ends on 24 March 2027, whether or not you accept or pay this quote. The 14 rentals that would fall due after that date are cancelled. You return the goods on that date; they are inspected, and any damage beyond fair wear and tear, any usage above the contracted usage and, on a full-maintenance lease, the settlement of the maintenance fund are invoiced separately on the end-of-term tax invoice. They are not part of this quote.

5.2 The cancellation charge

You remain liable for the amounts owed up to 24 March 2027, and the lessor may charge only a reasonable cancellation penalty, as this agreement provides. This quote states that charge. The financial ceiling for the cancellation penalty is the

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lessor's reasonable loss: (a) the present value, on the cancellation date, of the rentals (excl. VAT and maintenance) that would have fallen due after it, discounted at the contract rate; less (b) the net amount the lessor realises, or can reasonably expect to realise, by selling or letting the returned goods; plus (c) actual documented recovery, refurbishment and re-letting costs, itemised with their evidence and evidence confirming those costs were not already deducted in the net goods valuation. A cost already deducted must not also be added to the charge. The charge is floored at zero and capped below the undiscounted remaining rentals, no percentage penalty is added, and it is only a ceiling. The lessor must record a case-specific assessment of every applicable factor in regulation 5(2) of the CPA Regulations and a justified reasonable amount at or below that ceiling, including a reduction or waiver where appropriate. Under regulation 5(3), the charge may not negate the consumer's right to cancel.

The lessor issues one tax invoice for the charge, plus VAT, due on 24 March 2027. The arrears are already due. Default interest runs on any amount not paid by its due date, as the lease agreement provides.

5.3 If you disagree with the charge

Tell the lessor, using the contacts in section 6. You may also refer a dispute to the National Consumer Commission or a court. A dispute does not delay your cancellation.

6. HOW TO REACH US

Your cancellation does not depend on accepting this quote. Pay the invoice by its due date, or tell the lessor if you dispute the charge.

Lessor	Synthetic Lessor (Pty) Ltd (trading as Synthetic Lessor)
Email	info@lessor.test
Telephone	+27 11 000 0001
Collections email	collections@lessor.test
Collections telephone	+27 11 000 0002

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